

Diversification case
Yash & Viresh

Mondelēz International



Mondelez India is unassailable in chocolate but structurally underpowered in biscuits and the BCG matrix reveals exactly where capital must flow to fix that.

The Cash Cow base is unassailable

Dairy Milk and **5Star** dominate Indian chocolate with **~65–70%** market share. These brands generate predictable, high-margin cash flows that fund every other strategic move.

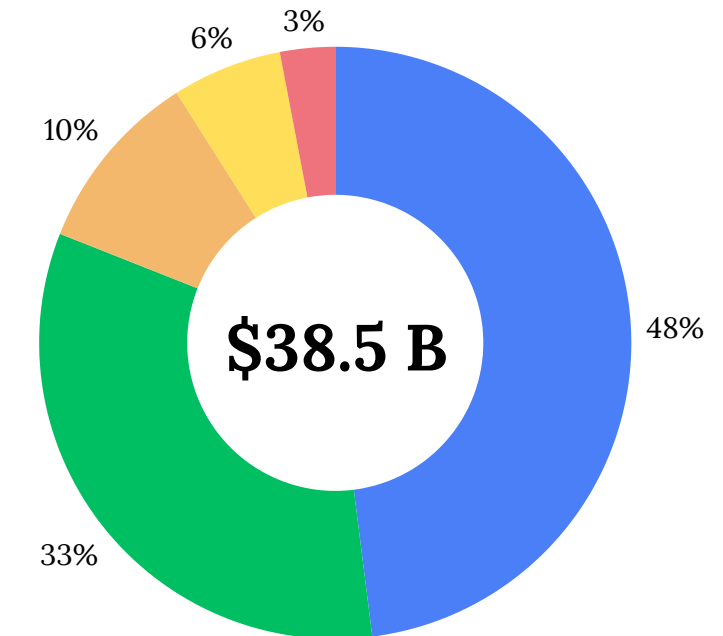
The portfolio reveals a deliberate pivot

Silk defends premium. Oreo and Chocobakes are the beachhead into biscuits, India's fastest-growing FMCG sub-segment at **12–14% CAGR**.

The biscuit gap is the strategic problem

Mondelez has only **~4–5% of India's biscuit market**. Britannia holds ~33%, Parle ~25%. Oreo cannot win on volume. The question is whether it can own the premium snacking segment before incumbents get there.

NET REVENUES BY CATEGORY (2025)



Biscuits & Baked snacks	48%
Chocolate	33%
Gum & Candy	10%
Cheese & Grocery	06%
Beverages	03%

THE PROBLEM: FY2025 Numbers

↓ **99.4%**

Net Profit (PAT)
₹2,021 Cr → ₹12.47 Cr
FY24 → FY25

Raw Materials
₹7,007 Cr

+24.2%

Cocoa + dairy supercycle

Revenue from Operations
₹12,503 Cr

Demand didn't collapse

MARKET GROWTH RATE (India CAGR)

Mass Confectionery	7–8%
Premium Chocolate	14–16%
Biscuits & Snacking	12–14%
Powdered Beverages	04–05%

RELATIVE MARKET SHARE (India)

Mass Choc (DM/5Star)	~65–70%
Premium Choc (Silk)	~55–60%
Biscuits (Oreo)	~4–5%
Beverages (Tang)	Single digit

Low

Relative Market Share

High

High

Market Growth Rate

Low

 **CASH COW**

Invest: Low

Defend leadership. Milk the cash.
Do not over-invest.

 STAR

Invest: High

Invest aggressively. Protect premium positioning.
Expand distribution.

 QUESTION MARK

Invest: Mod

Invest selectively. Win premium snacking, not
commodity biscuits.

 DOG / NICHE

Invest: Minimal

Maintain at minimum cost. No further investment. Do
not exit abruptly.

The chocolate moat is structural*65–70% market share***The biscuit gap is the real problem***4–5% share in a 12–14% CAGR category***BCG as a capital allocation tool***Understanding how cash flows from mature businesses
finance bets on the future*

Mondelez India Biscuit Strategy (Ansoff Matrix)

EXISTING PRODUCTS

NEW PRODUCTS

EXISTING MARKETS

MARKET PENETRATION

- **Oreo: Rural Recruitment & Trade-up**

INR 10 price packs for rural penetration; "Double Stuf" variant to encourage premium trade-up.

- **Cadbury Chocobakes Core**

Driving repeat purchases of chocolate-filled cookies through ritual marketing.

Priority - Delhi, Mumbai

PRODUCT DEVELOPMENT

- **Cadbury Chocobakes Choco-chip**

Cross-pollination of Cadbury chocolate into new indulgent cookie formats.

- **Oreo Zero Sugar**

Took four years to develop to ensure it matched the classic Oreo taste and texture.

Priority - Metro health conscious consumers

NEW MARKETS

MARKET DEVELOPMENT

- **Lotus Biscoff: Out-of-Home (OOH)**

Premium pairing occasions in airlines, hotels, and premium coffee houses.

- **Geographic Expansion**

Moving Oreo & Bournvita into the "Next Billion" consumer segment in smaller towns.

Priority - Bangalore, Gurgaon, Hyderabad

DIVERSIFICATION

- **Tate's Bake Shop and Triscuits**

Entry into "Soft Bakery" and the potential launch of global artisanal and savory brands.

Priority - Tier 1 Metros

Porter's Generic Strategies — Where Should Mondelēz Compete?

Chocolates



Cost Leadership	Focused Market
Mass Market	Diver-sification

Biscuits



CURRENT INDUSTRY POSITIONING

Cost Leadership
Parle

Broad differentiation
Britannia

Premium Focus
White space

♦ Strategic whitespace, premium focus is unclaimed

WHY MONDELÉZ CANNOT WIN ON VOLUME

⚡ **Weak biscuit distribution depth**
Limited rural reach vs. Parle's **6M+** retail touchpoints

💰 **Higher cost structure vs Parle**
Import-heavy supply chain increases per-unit COGS

📊 **Low market share (~4–5%)**
Insufficient volume to achieve mass-market efficiencies

RECOMMENDED POSITION

DIFFERENTIATION FOCUS

Oreo India's #1 chocolate biscuit

Biscoff Global premium platform

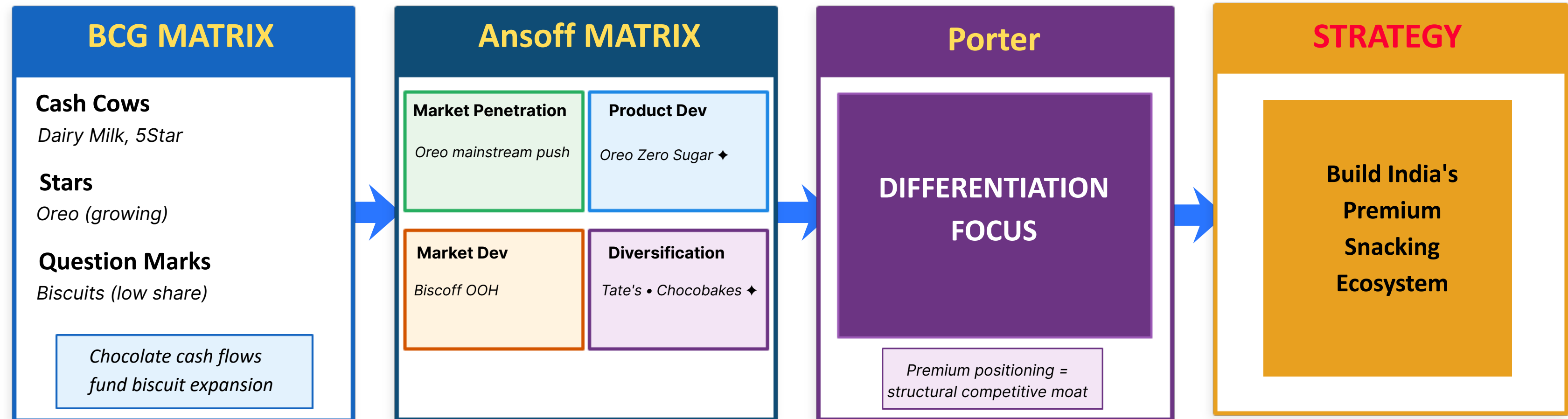
Chocobakes Premium indulgence

Tate's Health-premium import

Mondelēz should not out-Parle Parle. It should own the premium snacking category before incumbents establish credibility there.

Integrated Strategic Logic

How BCG, Ansoff and Porter converge into one strategic direction.



SO WHAT?

Cash cows fund diversification

Financial sustainability via internal cross-subsidisation

Premium adjacencies growing faster

Better long-term growth with higher margins

Competitors weak in premium lifestyle snacking

Strategic whitespace to capture before incumbents arrive

Strategic Recommendation

Mondelez should formally adopt a Differentiation Focus strategy in Indian biscuits.